studies ignore this risk entirely, instead focusing solely on minimizing failure. On the other hand, planning for a shorter horizon could leave you exposed to overspending, which means you could outlive your wealth. For some, the risk of cutting spending and missing out on enjoying hard-earned wealth outweighs the risk of overspending. The impact of this risk varies from person to person depending on the value each would get from additional spending.

Exhibit 5.22 explores the impact of retirement length on sustainable withdrawal rates. Using historical data since 1926 and all of the baseline assumptions—including a 50/50 allocation to large-capitalization stocks and intermediate-term government bonds—the exhibit shows Bill Bengen's SAFEMAX withdrawal rate for retirement horizons between five and forty years. We saw before that the SAFEMAX for a thirty-year retirement is 4.03 percent. This exhibit illustrates a curve in which the SAFEMAX declines, but at a decreasing rate, as the retirement duration increases. The historical SAFEMAX for forty years reduces to 3.72 percent.

*Exhibit 5.22*

*Relationship between SAFEMAX and Retirement Duration*

*for a 50/50 Asset Allocation, Inflation-Adjusted Spending*

*Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds*